The money Dave provided started becoming an expected part of Tim's budget. No longer was this money just a source of emergency funds, but it had become an anticipated income source to pay for normal monthly expenses. Dave had retired six months ago, but found himself returning to work since his lowered retirement income wasn't enough to support his son's needs. He told himself that he was bored by retirement, and going back to work was something he would have done anyway. But however hard he tried, he couldn't convince himself that this was true.

From Dave's point of view, his son was always in a crisis situation. He invariably needed money. Dave assumed that the cost of raising the children was too much for Tim to handle. In reality, Tim's financial problems had more to do with his spending habits than his childcare expenses.

Tim was desperate to find another wife and he wanted to make sure that he was a "good catch." He spent lots of money on expensive clothes as well as taking women out to dinner. If Dave had sat down with Tim and discussed his finances, instead of just giving him money whenever he asked, they could have worked out a plan that was beneficial to everyone. Dave could have helped Tim to see where he could manage his money better and rely on Dave less.

Out of Sight but Not Out of Mind

When you first have an indication that the borrower might not repay you, action should be taken. Your fears may have been triggered by their procrastination in starting the repayment or because the repayment is sporadic. You should not ignore these danger signs. Have an immediate discussion about the repayment schedule.

You should try to convince the borrower to commit to regular disbursements. If the borrower does not agree to these